

HOUSE BILL 1716

By Fritts

AN ACT to amend Tennessee Code Annotated, Title 26
and Title 67, relative to property taxes.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-5-601(c), is amended by deleting the subsection and substituting instead:

(c)

(1) The general assembly finds that the use of assessment manuals for the valuation of residential properties tends to lead assessors of property to provide speculative and inflated values, rather than the actual value of the property.

(2) The value of all residential property is the higher of:

(A) The most recent price paid for the property; or

(B) The value attributed to the property by a financial institution when the owner refinances the mortgage on the property or otherwise uses the property as collateral for a loan.

(3) This subsection (c) applies to sales or financial institution appraisals that occur after December 31, 2020. The appraised value of residential properties appraised by the assessors of property on or before December 31, 2026, is the appraised value for tax purposes until the residential property is sold or a financial institution attributes a value to the property for use as collateral for a loan.

SECTION 2. Tennessee Code Annotated, Section 26-2-301(c), is amended by deleting the subsection and substituting instead:

(c) The homestead exemption shall not operate against public taxes, except as provided in subsection (e) and § 67-5-2501(d), nor shall the exemption operate against

debts contracted for the purchase money of such homestead or improvements thereon, nor shall the exemption operate against any debt secured by the homestead when the exemption has been waived by written contract.

SECTION 3. Tennessee Code Annotated, Section 26-2-301, is amended by adding the following as a new subsection:

(e) Notwithstanding another law to the contrary, the homestead exemption for a principal place of residence of a United States citizen for debt related to real property tax is the full value of the homestead.

SECTION 4. Tennessee Code Annotated, Section 67-5-2501, is amended by adding the following as a new subsection:

(d)

(1) Notwithstanding another law to the contrary, a parcel that has been used as a principal place of residence by the owner who is a United States citizen for ten (10) years or more cannot be sold to satisfy a debt under this part.

(2) The owner of a parcel seeking to prevent a tax sale of the parcel shall provide evidence of the use of the parcel as a principal place of residence for the requisite period and proof of United States citizenship.

(3) Once it is determined that the parcel has been used as a principal place of residence for the requisite period, interest does not accrue on the debt.

(4) The debt becomes due and payable upon the transfer of the property to another owner.

SECTION 5. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it.